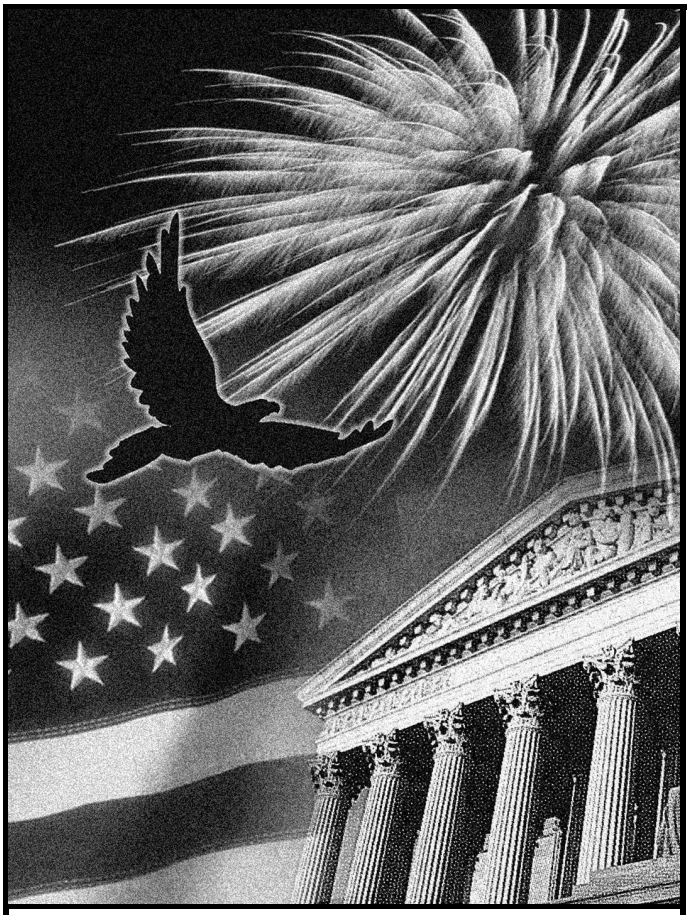
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Household Employer's Tax Guide

For Wages Paid in 2010



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What's New

Credit reduction state. For 2009, Michigan is a credit reduction state. A state that has not repaid money it borrowed from the federal government to pay unemployment benefits is a "credit reduction state." The Department of Labor (DOL) determines these states. If an employer pays wages that are subject to the unemployment tax laws of a credit reduction state, that employer must pay additional federal unemployment tax. If you paid any wages that are subject to the unemployment compensation laws of the State of Michigan, your FUTA tax credit is reduced. See page H-5 in the 2009 Instructions for Schedule H (Form 1040) for more information.

No change to social security and Medicare wage threshold. The social security and Medicare wage threshold will remain at $1,700 for 2010. This means that if you pay a household employee cash wages of less than $1,700 in 2010, you do not have to report and pay social security and Medicare taxes on that employee's 2010

Jan 28, 2010

More information. More information about who is an employee is in Publication 15-A, Employer's Supplemental Tax Guide.

Can Your Employee Legally Work in the United States?



It is unlawful for you knowingly to hire or continue to employ an alien who cannot legally work in the United States.

When you hire a household employee to work for you on a regular basis, you and the employee must complete the U.S. Citizenship and Immigration Services (USCIS) Form I-9, Employment Eligibility Verification. No later than the first day of work, the employee must complete the employee section of the form by providing certain required information and attesting to his or her current work eligibility status in the United States. You must complete the employer section by examining documents presented by the employee as evidence of his or her identity and employment eligibility. Acceptable documents to establish identity and employment eligibility are listed on Form I-9. You should keep the completed Form I-9 in your own records. Do not submit it to the IRS, the USCIS, or any other government or other entity. The form must be kept available for review upon notice by an authorized U.S. Government official.

Two copies of Form I-9 are contained in the Handbook for Employers (Form M-274) published by the USCIS.



Call the USCIS at 1-800-870-3676 to order the Handbook for Employers; or you may download the handbook at www.uscis.gov/portal/site/uscis. If you have questions about the employment eligibility verification process or other immigration-related employment matters, contact the USCIS Office of Business Liaison at 1-800-357-2099.



You also can visit the USCIS website at www.uscis.gov to get Form I-9.

For more information, see Employee's Social Security Number (SSN) in Publication 15 (Circular E), Employer's Tax Guide.

Do You Need To Pay Employment Taxes?

If you have a household employee, you may need to withhold and pay social security and Medicare taxes, pay federal unemployment tax, or both. To find out, read *Table 1.*

You do not need to withhold federal income tax from your household employee's wages. But if your employee asks you to withhold it, you can. See *Do You Need To Withhold Federal Income Tax?* on page 6.

If you need to pay social security, Medicare, or federal unemployment tax or choose to withhold federal income tax, read *Table 2* on page 4 for an overview of what you may need to do.



If you do not need to pay social security, Medicare, or federal unemployment tax and do not choose to withhold federal income tax, read State employment taxes, *next. The rest of this publication does not apply to you.*

Table 1. **Do You Need To Pay Employment Taxes?**

IF you ...		**THEN you need to ...**
A–	Pay cash wages of $1,700 or more in 2010 to any one household employee. Do not count wages you pay to— • Your spouse, • Your child under the age of 21, • Your parent (see page 4 for an exception), or • Any employee under the age of 18 at any time in 2010 (see page 4 for an exception).	Withhold and pay social security and Medicare taxes. • The taxes are 15.3% of cash wages. • Your employee's share is 7.65%. (You can choose to pay it yourself and not withhold it.) • Your share is a matching 7.65%.
B–	Pay total cash wages of $1,000 or more in any calendar quarter of 2009 or 2010 to household employees. Do not count wages you pay to— • Your spouse, • Your child under the age of 21, or • Your parent.	Pay federal unemployment tax. • The tax is usually 0.8% of cash wages. • Wages over $7,000 a year per employee are not taxed. • You also may owe state unemployment tax.
Note. If neither A nor B above applies, you do not need to pay any federal employment taxes. But you may still need to pay state employment taxes.		